01

PORTFOLIO COMPANY REVIEW

# Next TFX, Inc. Progress vs. Plan

**Next TFX, Inc.** (Delaware C-corp; Los Angeles, CA) is commercializing TFX™, a compaction-resistant, ultrahigh-pressure/temperature-tolerant reverse-osmosis membrane developed at UCLA by co-founder and CEO Dr. Eric Hoek. The company targets brine concentration, desalination, and critical-mineral recovery — markets its own materials size at $50–95B combined by 2030. This report benchmarks the company against its own stated plan, drawn from its data room, so that progress each quarter can be verified rather than narrated.

| | | | |
|---|---|---|---|
| **$400K** BUV INVESTED · $8M POST | **5.0%** BUV OWNERSHIP AT ENTRY | **$5M** CURRENT RAISE · $10–20M VAL* | **TRL 4** TECH READINESS · JAN 2026 |

*Per BUV notes, Aug 2026. Pre- vs. post-money not yet confirmed — see Section 05.

### HOW TO USE THIS TRACKER

This is a static benchmark of Next TFX's own stated plan, fixed at the close of its Dec 2025 – Mar 2026 data room. Each quarter, read Section 03 for the milestones the company committed to for that period and verify each against documents — signed agreements, delivery records, filed terms — rather than narrative. Sections 04 and 05 hold the annual proof points and the ownership math those results feed into. The plan recorded here does not update; deviations from it are the signal.

### MATERIALS REVIEWED

Investor deck (Jan 2026) · Short pitch (Mar 2026) · Strategic Milestones & Marketing Roadmap 2026–31 · 10-Year Revenue Projection · Modular Brine Refinery process flow (V4 Technical Memorandum summary) · Track B comparative test charts · Certificate of Incorporation (DE) · IRS CP-575A (EIN, 22 Dec 2025) · CA Statement of Information (filed 12 Jan 2026).

Outstanding requests: Go-to-Market Strategy document; Operations Report — Track B workbook (charts received, underlying data not); V4 Technical Memorandum (full); current-round term sheet.

# 02 SECTION 02

# Technology & Operations Progress

### CORPORATE FOUNDATION — COMPLETE

- Delaware incorporation; 2,000,000 authorized common shares, $0.001 par
- EIN assigned 22 Dec 2025 (first Form 1120 due 15 Apr 2026)
- CA Statement of Information filed 12 Jan 2026; principal office at UCLA (570 Westwood Plaza)
- Eric Hoek: CEO, CFO & Secretary; Pat O'Brien: co-founder, VP Operations

**WATCH** Charter authorizes common stock only — a priced preferred round requires an amended & restated charter. No directors listed on the CA filing; board build-out is a governance item for the current round.

### PRODUCT ARCHITECTURE

Two membrane families, six variants: **TFX-SWRO** (HR / HF / FR) for seawater desalination and **TFX-BCRO** (HR / MR / LR) for brine concentration — plus the **UHPRO** element inside the modular refinery design.

### COMPANY-STATED PERFORMANCE CLAIMS

- <5% compaction loss at 120 bar; stable to 200 bar (vs. >50% for legacy TFC)
- >99% rejection at 180,000 mg/L; temperature tolerance to 85°C
- Manufacturable on existing equipment at or below competitor cost

### TRACK B BENCH TESTING — WHAT THE DATA SHOWS

Comparative 3-hour trials of TFX coupons against a Hydranautics (Nitto) commercial membrane across temperature (25–50°C), pressure (60–120 bar), and pH 1–13:

- **Flux stability:** TFX flow rates hold essentially flat from hour 0 to hour 3 under every condition tested — including 120 bar and pH extremes. The comparator loses roughly half its initial flux within the first hour at high flow conditions, the signature of compaction.
- **Chemical range:** Stable operation at pH 1 through pH 13 supports the crosslinked-thermoset durability claim and aggressive-cleaning tolerance.
- **Context:** Absolute flux of TFX coupons ran below the commercial comparator in these trials — expected at coupon scale, but flux-per-area at module scale is the number to demand from the ACWA pilot.

### STRATEGIC EVOLUTION TO NOTE

Between the January deck and the March materials, the story broadened from selling membranes to operating a **modular brine refinery**: NF split → $Mg(OH)_2$ precipitation → 30 wt% $MgCl_2$ product + recovered water, at ~$4.37M revenue per 1,000 $m^3$/day plant. The 10-year model now attributes **83% of 2035 revenue to mineral recovery (CMR)**, not membrane sales. This raises the ceiling but adds process-plant execution risk and deep dependence on host-site agreements (ACWA). Boron removal is management's self-identified central technical challenge.

03 SECTION 03

# Quarterly Target Tracker — Company-Stated Plan

Compiled from the company's Strategic Milestones Roadmap (2026–31) and pitch timelines. These are Next TFX's own commitments — the checkpoints BUV will verify each quarter.

| QUARTER | COMPANY-STATED TARGETS | WHAT BUV VERIFIES |
|---|---|---|
| **Q1 2026** | Angel $1M deployed, operating accounts live · Prototype 4040 production + in-house testing via contract manufacturer · ACWA partnership press release (Mar) | Bank/ops confirmation; Track B data package; ACWA announcement in trade press |
| **Q2 2026** | Execute IXIL JDA (ion-exchange resin sales & distribution) · In-field TFX-SWRO pilots launch (Singapore, Middle East) · Global Water Summit Abu Dhabi (speaker) · AWWA Anaheim · IXIL announcement | Signed JDA; pilot site confirmations & start dates; conference presence |
| **Q3 2026** | Commission 4× 4040 SWRO modules for ACWA pilot (runs into Q4) · Close Veolia SWRO distribution partnership · Pilot-data teaser ahead of raise · Water Innovation Summit | Module commissioning records; executed Veolia agreement; teaser materials |
| **Q4 2026** | Launch Series A process ($5–10M) · Full ACWA pilot data disclosure + investor roadshow · TFX-BCRO-HR lithium-brine pilot · TFX-BCRO produced-water pilot | Term sheet(s); 6-month pilot dataset; lithium & produced-water pilot starts |
| **Q1 2027** | Close Series A · Deliver 72 SWRO modules — ACWA Phase 1 · IXIL Year-1 sales begin (10% royalty, $1M minimum) · Hire VP Sales · Complete 1-MGD UHPRO characterization · Publish 6-month pilot results | Round closed & terms; delivery + invoicing; first royalty revenue; hire announced |
| **Q2 2027** | Deliver 40 BCRO/UHPRO modules — Western Midstream Phase 1 · Global Water Summit 2027 · ACerS minerals conference | WM delivery confirmation & announcement (Jun) |
| **Q3 2027** | First Veolia shipment (72 units via distribution) · Mg-precipitation pilot at ACWA site · **First commercial $Mg(OH)_2$ sale** · CMR proof-of-concept disclosure | Shipment records; first mineral revenue on the books |
| **Q4 2027** | Deliver 500 BCRO modules — Western Midstream Phase 2 | Order book & delivery cadence; manufacturing capacity plan |

FLAG **Fundraising sequence discrepancy.** The roadmap schedules a $5–10M Series A launch for Q4 2026, yet a $5M raise at a $10–20M valuation is already in market as of Aug 2026. Ahead-of-schedule is fine — but confirm whether pilot data (the roadmap's intended proof point for this raise) exists yet, since raising before the ACWA dataset lands implies either strong inbound demand or a shorter runway than planned. Ask directly.

04

SECTION 04

# Financial Plan & Annual Checkpoints

| $33K → $107M | 2028 | 145% | 83% |
|---|---|---|---|
| REVENUE 2026 → 2035 | PROJECTED BREAKEVEN · $8.5M EBITDA | PROJECTED 10-YR CAGR | 2035 REVENUE FROM CMR |

## PER-PLANT UNIT ECONOMICS (V4 BASE CASE)

- 1,000 m³/day modular refinery: **$4.37M/yr revenue** (9,405 t/yr $MgCl_2$ brine at $459/t + water credit)
- COGS ~$183/t Phase I → ~$114/t with BMED reagent generation (Phase II, 2031+)
- CapEx per unit: $1M pilot / $2.5M demo / $5M Phase I / $7M Phase II

## CMR REVENUE-SHARE LADDER (25% NEXT SHARE)

| STAGE | SCALE | NEXT SHARE |
|---|---|---|
| Pilot | 1 MGD | $1.4M |
| Phase 2 | 10 MGD | $13.8M |
| Phase 3 | 50 MGD | $68.8M |
| Phase 4 | 100 MGD (ACWA) | $137.5M |
| Phase 5 | + Produced water | $165M+ |

Company projects $385M+ cumulative NEXT revenue over five years at full ladder.

## ANNUAL CHECKPOINTS — IS THE STORY HOLDING?

| YEAR | COMPANY-STATED PROOF POINTS |
|---|---|
| 2028 | ACWA Phase 2: 70× 8040 modules, 10 MGD · CMR Phase 2 (K, Br, sulfate) · IXIL Year 2: $20M net-sales target (7% royalty, $2M min) · Breakeven with $8.5M EBITDA at 75% margin |
| 2029 | ACWA Phase 3: 700 modules, 50 MGD · Western Midstream ramp to 5,000 BCRO modules/yr |
| 2030 | ACWA Phase 4: 7,000 modules, 100 MGD · CMR at scale: $17.2M NEXT share · Revenue inflection past $25M · $22.3M EBITDA |
| 2031 | ACWA Phase 5: 21,000 modules + produced-water integration · BMED Phase II cuts reagent cost ~60% · IXIL steady state ($5M/yr min) |

### REALITY-CHECK FLAGS

- Every 2027+ revenue line depends on three counterparties — **ACWA, Western Midstream, Veolia** — none under signed agreement in the roadmap as of its drafting (all "Planned").
- $33K (2026) to ~$11M implied revenue (2028) is a two-year cold start; treat 2028 breakeven as aspiration, not base case.
- 95%+ gross margins reflect a royalty/revenue-share posture; actual deal structures may land closer to equipment-sale economics.

05

SECTION 05

# Fundraising, Ownership & Exit Lens

## CAPITAL HISTORY & PLAN

| ROUND | AMOUNT / TERMS |
|---|---|
| Friends & Family | $200K — closed |
| Angel | $1M — closed; deployed Q1 2026 |
| Seed (BUV entry) | BUV $400K at $8M post · 5.0% — closed |
| Current raise | $5M at $10–20M valuation (pre/post TBC) — in market as of Aug 2026 |
| Series A (roadmap) | $5–10M — roadmap plan: launch Q4 2026, close Q1 2027 |

## DILUTION MATH FOR BUV

- If $5M closes at $20M post: ~25% dilution → BUV drifts to ≈3.75% without participation; pro rata to hold 5% ≈ **$250K**.
- If it closes nearer $15M post: ~33% dilution → BUV to ≈3.3%; pro rata ≈ $335K.
- At the $12.5M fund level, a maintained 5% position returns the fund at a **$250M exit**; a diluted ~3.5% needs ≈$355M.

Figures are mechanical estimates for planning; actual dilution depends on final structure, option pool, and any converting instruments.

## ROUND DILIGENCE ITEMS

- **Confirm pre vs. post** on the $10–20M valuation — the spread is the whole answer.
- **Charter amendment:** only 2M common shares authorized, no preferred class — an A&R certificate of incorporation must accompany a priced round; review the new rights.
- **Board:** CA filing lists no directors; single-officer structure (Hoek as CEO/CFO/Secretary). Push for a board seat or observer right with this round.
- **UCLA license:** confirm scope/field-of-use covers the CMR refinery pivot, not just membranes.
- **Counterparty status:** current state of ACWA, Western Midstream, Veolia, and IXIL agreements versus roadmap dates.

## EXIT LENS (BUV SIX: NAMED PLAUSIBLE EXIT)

Natural acquirers are the incumbents the company benchmarks against — LG Chem, Nitto/Hydranautics, Toray, DuPont, Veolia — plus mineral-recovery strategics if CMR proves out. Water exits are bounded; the CMR pivot is what stretches the ceiling beyond a typical membrane-company outcome. Hoek's seven prior ventures reselling for a claimed $1.3B+ cumulative supports acquirer familiarity.

## BUV QUARTERLY REVIEW CHECKLIST

- Which roadmap milestones due this quarter closed — with documents, not narrative?
- Cash on hand and monthly burn vs. the $1.1M projected 2026 operating loss?
- Pilot data: flux, rejection, and compaction at module scale vs. bench claims?
- Counterparty agreements advanced from "Planned" to signed?
- Fundraising: terms moving, and is BUV's pro rata decision window open?
- Team: key hires (VP Sales by Q1 2027) and board formation on track?